

card put a 26 per cent tariff on imports from India, far lower than the rates on Vietnam (46 per cent), Thailand (36 per cent), Bangladesh (37 per cent) or China (now 125 per cent!). India's lower rate, it would seem, can yield a competitive advantage as goods exported from India would be more attractive to American buyers relative to exports from other manufacturing hubs.

Sadly, tariff arbitrage won't work.

First, the worldwide tariff turmoil is an outcome of one man acting on his whims. A beginner in economics can tell you that a trade deficit does not mean you're being "looted, pillaged, raped, and plundered", as Trump believes. A more seasoned economist, Nobel laureate Bob Solow, once put it this way, "I have a chronic deficit with my barber, who doesn't buy a darned thing from me." Prof. Solow wasn't about to start cutting his own hair to spite his barber. The case for tariffs from the White House is based on falsehoods and wilful misreading of the scientific literature. No country's policy ought to rest on it.

Second, the hope that India uses the tariff arbitrage window to become a manufacturing powerhouse is farfetched. There are complex reasons that have prevented manufacturing from taking off despite a decade-long 'Make in India' campaign. While China's share of global manufacturing grew to 31.63 per cent, India's is just 2.87 per cent. There are many structural challenges to growing the manufacturing sector even though several historical constraints on scaling up manufacturing have eased in recent years. Accelerating manufacturing requires systemic changes. These include simplifying the processes for developing land for non-agricultural use; reforming existing labour laws; dismantling protectionist mindsets and policies; increasing government spending on the development of manufacturing hubs while exploring joint ventures, contract manufacturing and other forms of alliances and investments in small- and medium-sized manufacturing enterprises; and training human capital.

Third, systemic change takes time. Today's tariff regime is unlikely to remain as is, as the head-spinning imposition, doubling down and backing down on new tariff announcements of the past few weeks have shown. The picture will evolve, with scenarios ranging from a negotiated ratcheting back on tariffs to an escalation of trade wars. We could be looking at an immediate global recession or we may need to buckle up for longer-term structural turbulence. With this much uncertainty, it's unlikely that Indian policymakers can effect the many changes needed.

For now, India's best bet is to focus on near-term deal-making banking on Prime Minister Narendra Modi's good vibes with the US President and that India's trade balance with the US is in a better place than for other countries. Also, India hasn't retaliated against Trump's tariffs and this restraint positions it well. It is working toward a bilateral trade agreement with the US.

India could negotiate a temporary relief for a select list of high-performing export categories, including textiles, engineering goods and electronics goods, and propose measures to boost imports of American goods, such as energy products or defence equipment. Phased reductions in import duties on American luxury items and automobiles will signal goodwill.

The bottom line: learn from penguins—play nice, take small steps, don't dream of flight when your wings haven't yet evolved for flying. ■

ART OF THE DEAL

- **Forget tariff arbitrage:** The current turmoil is the outcome of one man's whim. No country's policy ought to rest on it
- **Focus on near-term deal-making:** Rely on the Modi-Trump vibes and the fact that India's trade balance is better than other countries'
- **Negotiate relief for high export categories:** Also propose measures to boost US imports

Illustration by **NILANJAN DAS**